

TECHNICAL EXHIBIT 8.12
Example Payment Calculations When RESD is Used

1. The Government reserves the right to start surveillance using Random Sampling with Extrapolated Deductions (RSED) at any time during the contract, to discontinue the use of RSED, and to resume the use of RSED without notice to the Contractor. The Government will use the attached tables entitled *Table of Sample Sizes for Normal Sampling Levels* and *Table of Sample Sizes for Reduced Sampling Levels* to determine sample sizes for RSED. The *Table of Sample Sizes for Reduced Sampling Levels* represents the minimum sample sizes the Government will use for extrapolation.

2. The Acceptable Quality Level (AQL) is defined as the defect rate above which the Contractor's quality control is not effective. The AQL does not represent a threshold above which payment deductions are taken. Deductions are taken for all defects (with credit for rework to the extent appropriate) irrespective of whether the AQL was exceeded or not. When a defect rate exceeds the AQL, the Contractor will be notified and appropriate administrative actions will be taken in addition to the payment deductions discussed above. The AQL for each work requirement is shown in the Performance Requirements Summary (PRS) table in Attachment J-C1.

3. The following example illustrates the process that will be used to calculate the Contractor's payment deduction when RSED is used for surveillance.

	<u>GRASS CUTTING, HIGH VISIBILITY AREA</u>		<u>TIMELY COMPLETION</u>	<u>DEBRIS REMOVAL</u>	<u>GRASS CUTTING</u>	<u>TRIMMING</u>
A.	Task value percent		15%	5%	60%	20%
B.	Maximum payment for acceptable work - Unit cost from bid schedule times the quantity of work ordered that month times the task value %. (EXAMPLE: 100 Acres times \$50.00 per acre Times the Task Value %)	-	<u>750</u>	<u>250</u>	<u>3000</u>	<u>1000</u>
C.	Cost Per Unit - (CLIN cost times Task Value %)	-	<u>7.5</u>	<u>2.5</u>	<u>30</u>	<u>10</u>
D.	AQL = 6.5					
E.	Accept / Reject =		<u>2/3</u>	<u>2/3</u>	<u>2/3</u>	<u>2/3</u>
F.	Lot Size = Number of parcels cut.		105	105	105	105

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G.	Total Number of Acres in the Lot =		100	100	100	100
H.	Sample Size (Normal) = Number of parcels		20	20	20	20
I.	Total Number of Acres in The Sample =		18	18	18	18
J.	Number Of Observed Defects In Sample		6	5	7	4
K.	Percentage Of samples Found Unacceptable - Observed Defect Rate (ODR) ((Defects Divided by Sample Size) x 100) (J/K)*100		30%	25%	35%	20%
L.	Uninspected Parcels - (105-20, or Lot Size-Sample Size) (F-H)		85	85	85	85
M.	Uninspected Acres Total Acres Minus Inspected Acres. (100 minus 18) (G-I)		82	82	82	82
N.	Defects Corrected =		2	3	1	0
O.	Revised Defect Rate for Corrected Defects. ((Observed Defects minus corrected Defects) divided by 20) (J-N)/H		20%	10%	30%	20%
P.	Service Value Lost For Inspected Lot. Acres in Sample x Unit Cost x Revised ODR (RODR) (18 x \$7.50 x RODR) I*C*P		\$ 27.00	\$ 4.50	\$ 162.00	\$ 36.00
Q.	Extrapolated Deduction for uninspected Lots - ODR x Uninspected Acres x Unit Cost. M*K*B		\$ 184.50	\$ 51.25	\$ 861.00	\$164.00
R.	Administrative Cost = Flat Rate \$50.00		-	-	-	-

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S.	Total Deductions = P (ALL) + Q (ALL) + R		<u>\$ 1,540.25</u>			
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END OF SECTION